Tax News & Insights

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OmniTax Professionals

ATO views on retrospective changes to foreign resident CGT regime

Following Treasury's consultation on the Strengthening the foreign resident capital gains tax regime draft legislation, the ATO has stated that the draft law confirms, with retrospective effect, their long-standing view and compliance approach that the term "real property" is not limited to its narrow, technical legal meaning.

In practice, the ATO will continue their current compliance approach for disposals that:

- are currently subject to review
- have occurred in the past 4 years

Generally, the ATO will not conduct reviews on disposals older than 4 years, even if the period of review is still theoretically open. However, if an older case came to the ATO's notice for other reasons, they may review it. For example, if a taxpayer applied for a ruling that involved the amended law, the ATO will consider any retrospective effects.

Similarly, the ATO will not seek to re-open settlements that the parties intended to be final, except in rare circumstances.

It is the ATO's expectation that the retrospective changes to the law, if enacted, will not affect many taxpayers. The changes will mainly clarify the law for those taxpayers already subject to review or who would normally be subject to review.

RTP Schedule for Super Funds & CIVs from 1 July 2026

From 1 July 2026, a Reportable Tax Position (RTP) schedule will be required to be lodged by large APRA-regulated super funds and large collective investment vehicles (CIVs).

A CIV is required to lodge a CIV RTP Schedule if the CIV:

- is lodging any of the following:
    - trust tax return as a managed investment trust (MIT) or a corporate collective investment vehicle (CCIV) sub-fund trust
    - attribution managed investment trust (AMIT) tax return and schedule
    - attribution CCIV sub-fund tax return and schedule; and
- has total business income, including gross capital gains, of $250 million or more in the current year

Category C RTPs for CIVs cover various topics including cross border, round robin or related party financing arrangements; re-characterisation of income from trading businesses; restructuring out of hybrid mismatch rules; mischaracterisation arrangements and schemes connected with foreign investment into Australian entities; trusts avoiding CGT by exploiting restructure roll-over; arrangements involving interposed offshore entities to avoid interest withholding tax and thin capitalisation.

An APRA-regulated super fund is required to lodge a Fund RTP Schedule if the fund:

- is lodging a fund tax return for the entire year (12 months or more); and
- has total fund income of $250 million or more in the current year

Self-managed superannuation funds are not required to lodge the Fund RTP Schedule.

Category C RTPs for super funds cover many of the same topics in the CIV RTP Schedule and also industry topics such as use of high-risk tax parcel selection methodology; deduction for payments to trustee and application of section 99B to non-resident trusts.

Given the expansion of the RTP regime to non-corporate structures, CIVs and super funds should start assessing whether the total business income thresholds are met, reviewing key positions to ensure they are supportable and well documented and proactively managing the appropriate tax treatment of arrangements that are on the ATO's radar.

Increased Visibility of Trust Elections

The Online Services for Agents family trust election (FTE) and interposed entity election (IEE) report now discloses additional important information including date the ATO received the election, the form type (election made, variation (FTE only) or revocation) and for revocations, the election end year (and election end date for FTE). This will allow tax agents and taxpayers to manage their FTE / IEE positions given such elections are permanent, may be made some time ago and have long term consequences.

$1,000 Work Expense Deduction – Exposure Draft Legislation

Exposure draft legislation for Treasury Laws Amendment Bill 2026 was released on 20 April 2026 which seeks to:

- introduce a standard deduction of up to $1,000 for Australian tax residents who earn income from work, from 1 July 2026
- keep current arrangements for people with more than $1,000 in work-related expenses
- allow some deductions to be claimed in addition to the instant tax deduction, including investment expenses, charitable donations and union and professional association membership fees
- update substantiation and capital allowance rules to support the new standard deduction

Botella Case – Division 7A & Dividend Stripping

The recent Administrative Review Tribunal decision in *Botella & Anor v FC of T [2026] ARTA 604* highlights important risks that can arise in relation to Division 7A and dividend stripping:

- From a **Division 7A** perspective, the decision confirmed that a Division 7A compliant loan must be made in writing prior to the relevant company's tax return lodgement. The case involved a private company, Pipeline Plumbing Developments Pty Ltd (PPD), advancing money to its sole shareholder, Mr John Botella and recording these amounts as book entries in a loan account. The advance needed to satisfy the requirements of a Division 7A loan to avoid being regarded as a dividend and this required that the loan be made "in writing" before lodgement of PPD's tax return for the year. Mr Botella argued that PPD's constitution contained provisions that automated the Division 7A compliance and satisfied the "in writing" requirement. The Tribunal rejected this argument and noted that a Division 7A compliant loan must be made wholly in writing and that a company's constitution does not replace the need for a written agreement between the parties. The Tribunal's decision is consistent with the ATO's views in Taxation Determination TD 2008/8.

- From a **dividend stripping** perspective, Mr Botella transferred 100% of his shares in PPD to a new private company, Pipeline Plumbing Holdings Pty Ltd (PPH) in exchange for shares in PPH and chose available CGT roll-over relief. Subsequently, PPD paid a fully franked dividend to PPH in exchange for the issue of a promissory note, and this note was then endorsed by PPH to Mr Botella. The notes were presented to PPD as repayment of loans that PPD had previously advanced to Mr Botella. The Commissioner said the payment of a franked dividend to PPH was a dividend stripping scheme and hence included the dividend in the assessable income of Mr Botella and raised shortfall scheme penalties. The Commissioner also amended the income tax assessment for PPH to remove the franking credit. The Tribunal agreed with the Commissioner and noted that the applicant failed to establish that the transaction was not a dividend stripping scheme given it resulted in Mr Botella avoiding tax in relation to the undistributed profits in PPD. The decision highlights the need to consider dividend stripping when contemplating internal restructures, especially those involving a significant reduction in retained profits and/or resulting in a tax benefit.

Tabcorp Case – Full Federal Court rules no TOFA financial arrangement

In *Tabcorp Maxgaming Holdings Limited v FCT [2026] FCAFC30*, the Full Federal Court unanimously upheld the Federal Court's decision that the termination of the taxpayer's gaming licences in Victoria did not create a "financial arrangement" subject to the Taxation of Financial Arrangements (TOFA) rules. Accordingly, the taxpayer was not entitled to a deductible loss of $1.49 billion.

The arrangement in question involved a right to receive a terminal payment from the Victorian government, contingent on a new gaming operator's licence being issued to another entity. Pursuant to section 230-85, contingent rights and obligations are regarded as rights and obligations under Division 230. This is relevant in determining whether a financial arrangement exists – i.e., whether a party has a cash-settleable legal right or obligation to receive or provide a financial benefit. In this case, the right to receive the terminal payment had no real prospect of satisfaction from 23 June 2009 due to a legislative change removing the possibility of the issue of a new gaming operator's license. Therefore, there was no contingent right for TOFA purposes.

Contact

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